

HALF YEAR RESULTS

The directors are pleased to announce the un-audited financial results for the six months ended 31 December 2022.

Consolidated Statement of Income

For the six months ended 31 December	2022 Shs'000	2021 Shs'000
Revenue	12,009,805	8,822,553
Operating (loss)/ profit	(107,456)	79,335
Finance Income	41,473	32,628
Finance Costs	(112,321)	(128,706)
Loss before tax	(178,304)	(16,743)
Income tax credit	46,966	25,195
(Loss)/ profit for the period	(131,338)	8,452
Other Comprehensive income	9,249	(4,831)
Total Comprehensive Income for the period	(122,089)	3,621
Due to owners of the parent	(85,168)	(2,933)
Due to non-controlling interest	(36,921)	6,554
	(122,089)	3,621
Basic and diluted earnings per share (Shs)	(1.204)	0.003

Consolidated Statement of Financial Position

As at 31 December	2022 Shs'000	2021 Shs'000
Assets		
Non-Current Assets	4,347,876	3,810,048
Current Assets	8,495,646	6,095,873
Total Assets	12,843,522	9,905,921
Equity and Liabilities		
Share Capital	378,535	378,535
Reserves	3,961,671	3,846,490
Minority Interests	2,225,206	2,168,509
Non-Current Liabilities	350,406	820,524
Current Liabilities	5,927,704	2,691,863
Total Equity and Liabilities	12,843,522	9,905,921

Consolidated Statement of Cash Flows

	2022 Shs'000	2021 Shs'000
Cash generated from operations	298,157	(319,371)
Tax Paid	(12,470)	(97,777)
Net cash from/ (used) in operating activities	285,687	(417,148)
Net cash used in investing activities	(11,923)	(20,947)
Net cash used in financing activities	(87,805)	(182,003)
Net increase/ (decrease) in cash and & cash equivalents	185,959	(620,098)
At the beginning of the period	734,719	1,521,049
At the end of period	920,678	900,951

Consolidated Statement of Changes in Equity

	Attributable to equity holders Shs'000	Non- controlling interest Shs'000	Total Sh'000
At 1 July 2022	4,425,373	2,262,127	6,687,500
Loss for the year	(91,179)	(40,159)	(131,338)
Other comprehensive Income for the year	6,012	3,237	9,249
Total comprehensive income for the year	(85,168)	(36,921)	(122,089)
At 31 December 2022	4,340,206	2,225,206	6,565,412

COMMENTARY

Revenue growth of 36% over same period prior year is mainly attributable to increased finished product prices to partially recover raw material price inflation. However, profit before tax was negatively impacted due to increased raw material prices and foreign exchange losses.

Our trade partners and farmers experienced strained working capital as they worked to recover from lost revenue experienced in the preceding period.

New products were added to the portfolio, including EXE® Cake Mixes. The Group continues to invest in the development of new products to be introduced to our consumers in due course.

Expansion of the aqua feed plant in Kenya is nearing completion. This will increase fish feed production capacity. The new feeds plant in Uganda is expected to be completed in first quarter of the new financial year.

Outlook

High cost of key raw materials will continue to affect affordability of finished products among consumers. The Group is continuously looking for opportunities to increase operational efficiency and keep finished goods prices as low as possible.

Poor weather experienced locally and regionally poses a threat to material availability. Barring intervention through fiscal policy, raw material costs are not expected to ease.

To improve performance, efforts are ongoing to manage costs, support and strengthen relationships with farmers and trade partners.

The Directors do not recommend payment of an interim dividend.

By order of the Board

W Jumba
Company Secretary
1 March 2023